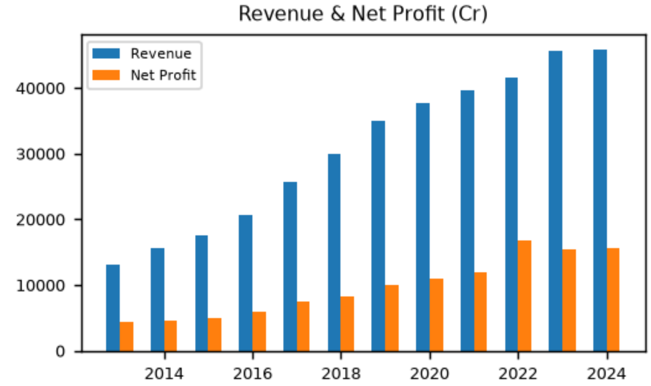
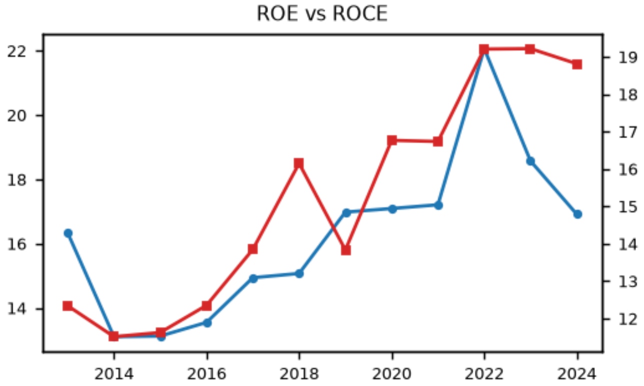
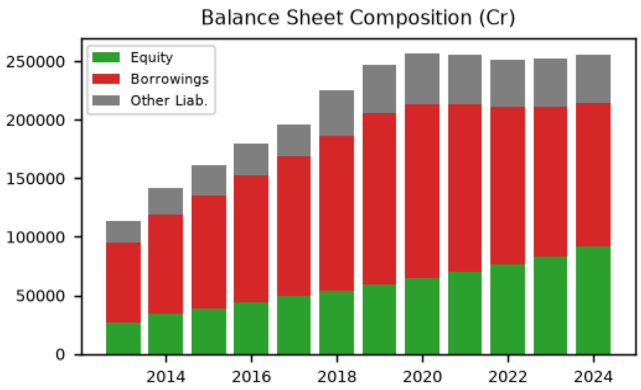
Power Grid Corporation of India Ltd (POWERGRID)

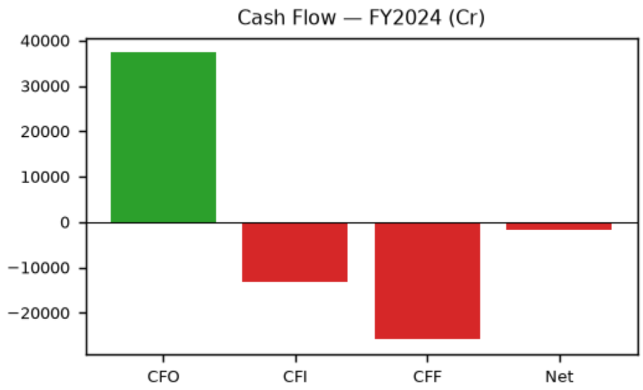
Energy · Fiscal Year 2024

ROE 16.9%	**ROCE** 18.8%	**Net Profit Margin** 34.0%
D/E 1.3	**Revenue CAGR 5yr** 5.5%	**FCF (Cr)** 24,176









Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Consistent dividend yield above 2% backed by positive free cash flow
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Growing asset base funded by internal accruals reflects self-sustaining growth

Cons

- Debt-to-equity ratio of 1.33 is elevated for a non-financial company and warrants monitoring

Capital Allocation: Shareholder Returns